

Finance & Accounting

6. Expense Reimbursement Policy

Policy ID: FIN-003 **Effective Date:** April 1, 2025 **Owner:** VP of Finance

6.1 Eligible Expenses

The company reimburses reasonable and necessary business expenses including: travel (flights, hotels, ground transport), client entertainment, meals during business travel, and approved professional development.

6.2 Submission Deadlines

Expense reports must be submitted within 30 calendar days of the expense being incurred. Expenses submitted after 90 days will not be reimbursed without CFO approval.

6.3 Meal Limits

- **Domestic travel (breakfast):** Up to \$25
- **Domestic travel (lunch):** Up to \$40
- **Domestic travel (dinner):** Up to \$75
- **Client entertainment meals:** Up to \$120 per person with prior manager approval

Alcohol is reimbursable only for client entertainment and capped at 20% of the total meal cost.

6.4 Air Travel

Employees must book economy class for flights under 6 hours. Business class is permitted for flights over 6 hours with VP approval. All bookings must be made through the approved corporate travel portal (Concur). Out-of-policy bookings are reimbursed at the economy equivalent.

6.5 Hotel

Domestic hotel stays are capped at \$200/night in standard markets and \$300/night in high-cost markets (New York, San Francisco, London, Dubai). Exceptions require VP Finance pre-approval.

6.6 Approval Workflow

- Up to \$500: Direct manager approval

- \$500–\$2,000: Department Head approval
- \$2,000–\$10,000: VP Finance approval
- Above \$10,000: CFO approval

7. Procurement & Purchase Order Policy

Policy ID: FIN-008 **Effective Date:** January 1, 2025 **Owner:** Procurement & Finance

7.1 Purchase Order Requirements

All purchases of goods or services must be initiated via a Purchase Order (PO) in the ERP system (SAP). Invoices received without a corresponding PO will be returned to the vendor unpaid.

7.2 Vendor Approval

New vendors must be onboarded through the Vendor Onboarding Portal. Required documentation includes: W-9 or W-8BEN, bank account details, certificate of insurance, and a signed Vendor Code of Conduct. Onboarding takes 5–10 business days.

7.3 Three-Quote Rule

Purchases between \$5,000 and \$50,000 require a minimum of 3 competitive quotes. Purchases above \$50,000 require a formal RFP process managed by the Procurement team. Single-source exceptions require written justification and VP Finance sign-off.

7.4 Goods Receipt

The requesting department is responsible for confirming receipt of goods or services in SAP within 3 business days of delivery. Payment is triggered only after a three-way match: PO, goods receipt, and invoice.

8. Budget Management Policy

Policy ID: FIN-011 **Effective Date:** January 1, 2025 **Owner:** FP&A Division

8.1 Annual Budget Cycle

The annual budgeting process begins in October for the following fiscal year (January–December). Department heads submit budget proposals by November 15. Final budgets are approved by the Board of Directors in December.

8.2 Budget Transfers

Budget transfers between cost centers within the same department require department head approval. Cross-department transfers require VP Finance approval. Transfers into or out of headcount budgets additionally require CHRO sign-off.

8.3 Variance Reporting

Departments with actual spend exceeding budget by more than 10% in any given month must submit a written variance explanation to FP&A within 5 business days of month-end close. Persistent overruns (3+ consecutive months) trigger an executive review.

8.4 Contingency Reserve

A 5% contingency reserve is held at the corporate level and may be accessed by department heads with CFO approval for unplanned, business-critical expenditures.

9. Financial Controls & Segregation of Duties

Policy ID: FIN-015 **Effective Date:** January 1, 2025 **Owner:** Internal Audit & Compliance

9.1 Segregation of Duties (SoD)

No single individual may have end-to-end control over a financial transaction. Key incompatible functions include: requesting vs. approving purchases, approving payments vs. reconciling accounts, and managing vendor master data vs. processing payments.

9.2 Payment Authorization

All outgoing payments above \$25,000 require dual authorization — one from Finance and one from the relevant business unit head. Wire transfers above \$100,000 additionally require CFO confirmation via out-of-band verification (phone call or secure token).

9.3 Month-End Close

The accounting close cycle runs from Day 1 to Day 5 after month end. All journal entries must be posted by Day 3. Controller review and sign-off is due by Day 5. Financial statements are distributed to the executive team by Day 7.

9.4 Audit Trail

All financial transactions must maintain a complete, immutable audit trail in SAP. Manual overrides or journal entries require a written justification and second-level approval. Audit logs are retained for a minimum of 7 years per regulatory requirements.

10. Capital Expenditure (CapEx) Policy

Policy ID: FIN-019 **Effective Date:** January 1, 2025 **Owner:** VP Finance

10.1 Capitalization Threshold

Assets with a useful life of more than 12 months and a cost of \$2,500 or more are capitalized. Items below this threshold are expensed in the period incurred.

10.2 Approval Tiers

- Up to \$25,000: VP of the requesting department
- \$25,000–\$250,000: CFO
- Above \$250,000: Board of Directors approval required

10.3 Depreciation

- **Computer hardware & software:** 3 years, straight-line
- **Office furniture & fixtures:** 7 years, straight-line
- **Leasehold improvements:** Lesser of useful life or remaining lease term
- **Vehicles:** 5 years, straight-line

10.4 Asset Disposal

Disposal, sale, or write-off of capitalized assets requires Finance approval and must be recorded in the Fixed Asset Register within 5 business days. Proceeds from asset sales are recorded as other income.